

one last try at a new peak. Usually, however, price does not bounce off the trendline but continues down. Sometimes there is a pause and sometimes price just plunges straight through the resistance line, as illustrated in [Figure 15.1](#).

Once price pierces the trendline, volume increases as investors dump the stock. This selling alarms more investors, and the downward trend feeds on itself. Eventually, after several months of declining price, the selling pressure abates and buying enthusiasm halts the downward slide. Price tentatively levels out and perhaps even rebounds some. Once the cause of the reversal fades from memory, price starts rising again and the process begins anew.

Identification Guidelines

[Table 15.1](#) outlines the various parts of the BARR that are illustrated in [Figure 15.1](#).